

# UPM Green Finance Report 2025



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## Recognitions

**Dow Jones Sustainability Index:** The only forest and paper company included in the Dow Jones European and World Sustainability Indices (DJSI) for 2024–2025.

**MSCI ESG ratings:** An AAA rating in the assessment. MSCI ESG Research provides ESG ratings on global public companies based on their exposure to industry-specific ESG risks and their ability to manage those risks relative to peers.

**CDP Program:** A score for our leadership in corporate transparency and action on climate change, and a leadership-level score of A- for forests and water stewardship. An A score in CDP’s 2024 Supplier Engagement Assessment (SEA), which evaluates how companies engage their supply chains on climate-related issues.

**S&P Global's Sustainability Yearbook:** Top 10% S&P Global CSA Score in the Sustainability Yearbook 2025 as one of the top-scoring companies in our industry.

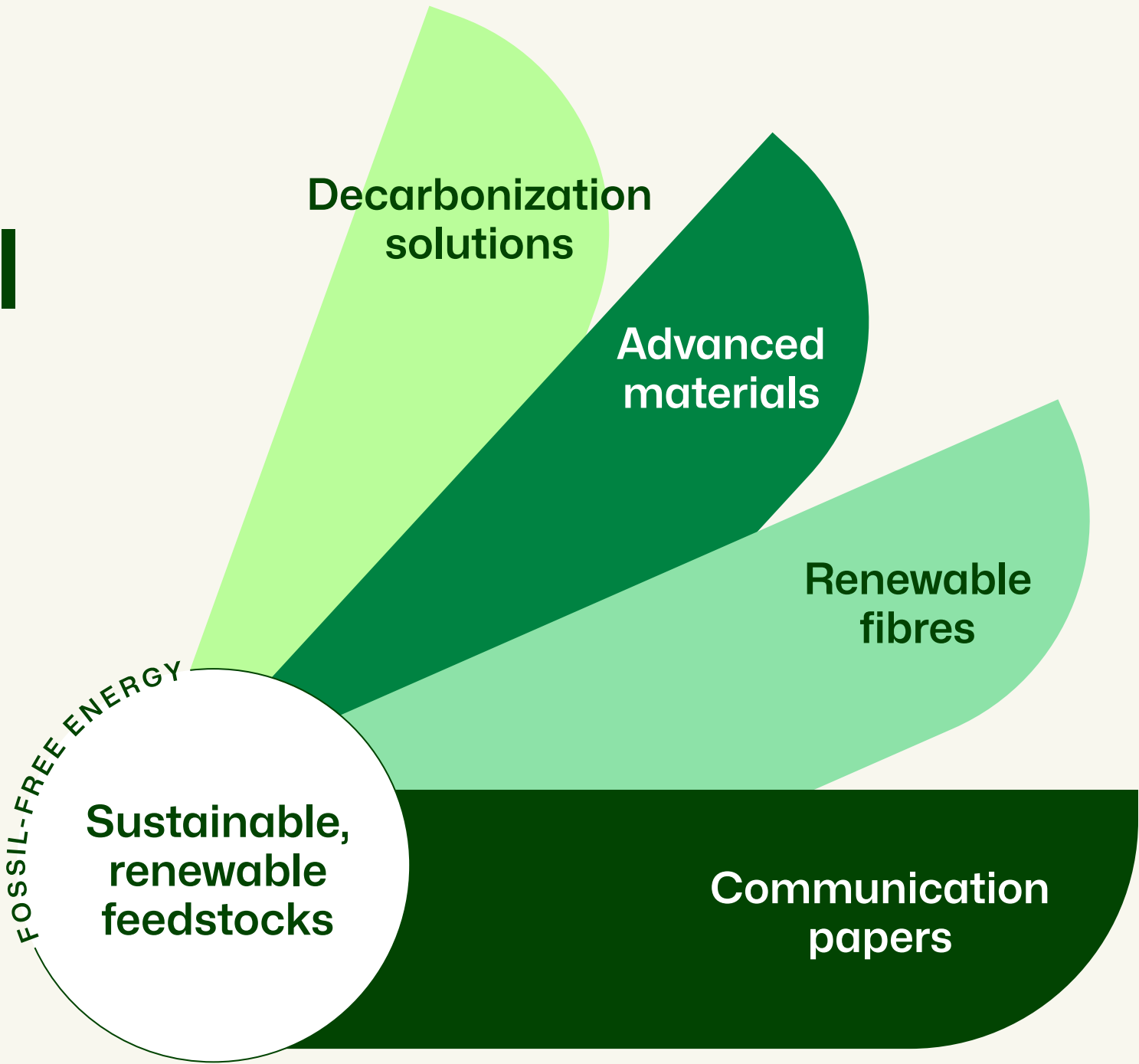
**EcoVadis:** The highest possible Platinum level for our sustainability performance, which only 1% of the over 100,000 companies assessed globally attain. The assessment evaluates performance across four categories: Environment, Labor and Human Rights, Ethics, and Sustainable Procurement. UPM’s overall score increased by 5 points, reaching an impressive 90 out of 100.



We are a participant in the UN Global Compact.



# We are a material solutions company

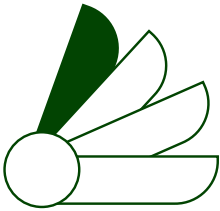


## This is UPM

Your partner in renewing materials and value chains

UPM contributes to the sustainable transformation of society with material solutions, utilizing renewable feedstocks. We create long-term value through our extensive portfolio of renewable fibres, advanced materials, decarbonization solutions and communication papers, collaborating with industries and brands worldwide.

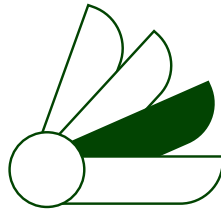
[www.upm.com](http://www.upm.com)



### Decarbonization solutions

Our wood-based renewable biochemicals replace fossil-based materials in packaging, PET bottles, cosmetics, pharmaceuticals, textiles, detergents, rubbers and resins. Our renewable diesel is suitable for all diesel engines, and our renewable naphtha serves as a biocomponent for gasoline. Our CO<sub>2</sub>-free electricity supports the decarbonization of energy systems, and we explore opportunities in the electrification of society.

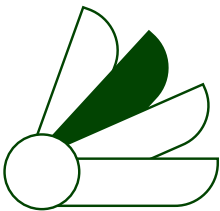
- UPM Next Generation Renewables
- UPM Energy



### Renewable fibres

UPM's renewable fibres cover a wide range of applications, providing pulp products well suited for tissue, specialty papers, packaging papers, graphic papers and board. We also offer sawn timber that is perfect for joinery, packaging, furniture, planing and construction.

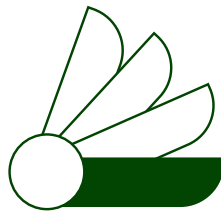
- UPM Fibres



### Advanced materials

UPM's advanced materials provide technical solutions that add value for a variety of growing applications, including paper and film labels, graphic solutions, flexible packaging, and labeling. Our plywood is ideal for construction, vehicle flooring, and LNG shipbuilding.

- UPM Adhesive Materials
- UPM Specialty Materials
- UPM Plywood



### Communication papers

UPM offers the industry's widest portfolio of graphic papers, including magazine papers, newsprint and fine papers. These products are ideal for advertising, publishing and everyday use in homes and offices.

- UPM Communication Papers

48

production plants  
in 10 countries

15,100

employees  
in 43 countries

10,000

b2b customers

More than  
300

million end-users  
worldwide

# Green Bond summary

We have science-based targets and a solid track record of concrete action to both mitigate climate change and safe-guard biodiversity. Our strategy is based on the versatile use of renewable feedstocks, driven by a commitment to innova-tion and sustainability. We maximize the efficient use of sus-tainable and renewable raw materials in all our businesses and process them into climate positive products that help our customers achieve their sustainability goals.

Sustainability also plays an important role in our financ-ing, and we have issued four Green Bonds under our Green Finance Frameworks totaling €2,350 million. Our initial Framework was published in November 2020, with a Sec-ond Party Opinion (SPO) from CICERO Shades of Green. The Framework received a Dark Green overall rating. We have issued three Green Bonds under this Framework: €750 mil-lion in November 2020, €500 million in March 2021 and €500 million in May 2022.

In November 2023, we updated our Green Finance Frame-work with an SPO from S&P Global Ratings. The updated

Framework also received a Dark Green overall rating. Under this updated framework, we issued the fourth Green Bond of €600 million in August 2024.

Our Green Bond portfolio was fully allocated at the end of 2024 and remains fully allocated to the same dark-green categories as disclosed in last year’s report. The impact reporting has been updated to reflect the latest achieved results. Details of the bond by bond allocation can be found from the [UPM Green Finance Report 2024](#) on page 6 and information on portfolio EU Taxonomy alignment on page 7.

This report is based on the green finance portfolio as at December 31, 2025 and the November 2023 Framework. The November 2020 Framework and the November 2023 Frame-works are aligned concerning all material issues and the new Framework further aligns our financing strategy with our objectives and sustainability targets. In this report, we use the updated category names as there are no material changes in the content and definitions of the categories between the frameworks.

| Basic information                      |                                                                                                                   |
|----------------------------------------|-------------------------------------------------------------------------------------------------------------------|
| Green Bond Frameworks applied          | Report covers projects financed under frameworks dated November 2020 and November 2023                            |
| Second Party Opinions provided         | CICERO Shades of Green for November 2020 framework and S&P Global Ratings for November 2023 Framework             |
| Related Green Bond ISIN(s)             | XS2257961818, XS2320453884, XS2478685931, XS2886143770                                                            |
| External verifier for the report       | PwC for the reports 2020–2023 and EY for the reports 2024–2025                                                    |
| Report publication date                | April 15, 2026                                                                                                    |
| Frequency of reporting and next report | Annual, next report estimated to be published in April 2027                                                       |
| Reporting approach                     | Portfolio approach for allocation and impacts, but bond-by-bond information also shared concerning the allocation |

Green Bond portfolio

€2,350m

using Eligible Green Projects and Assets from the following categories:

Sustainable forest and plantation management

- 830,000 certified hectares
- 1.9 million tonnes carbon sink
- Net-positive impact on biodiversity

13CLIMATE ACTION

15LIFE ON LAND

Targets 13.1 and 15.2

Climate positive and circular bioeconomy adapted products and solutions

- 1,132 patents
- 96 trademarks
- Bio-based solutions to replace fossil-based materials
- 1,689,985 tonnes emissions saved

13CLIMATE ACTION

Targets 13.1

Renewable or CO<sub>2</sub>-free energy

- 776 GWh hydropower generation

7AFFORDABLE AND CLEAN ENERGY

13CLIMATE ACTION

Targets 7.3 and 13.1

➤ [Green Finance Framework November 2023](#)

➤ [S&P Global Ratings Second Party Opinion November 2023](#)

➤ [Green Finance Framework November 2020](#)

➤ [CICERO Second Party Opinion November 2020](#)

➤ [UPM Green Finance Report 2024](#)

➤ [Green Bond Report 2023](#)

➤ [Green Bond Report 2022](#)

➤ [Green Bond Report 2021](#)

➤ [Green Bond Report 2020](#)

➤ [UPM Annual Report 2025](#)

➤ [UPM Annual Report 2025 - EU Taxonomy](#)

➤ [UPM Sustainability Policy Statement](#)

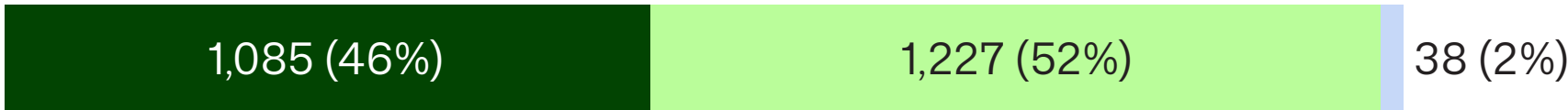
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# Green Bond summary

## Green Bond Allocation December 31, 2025

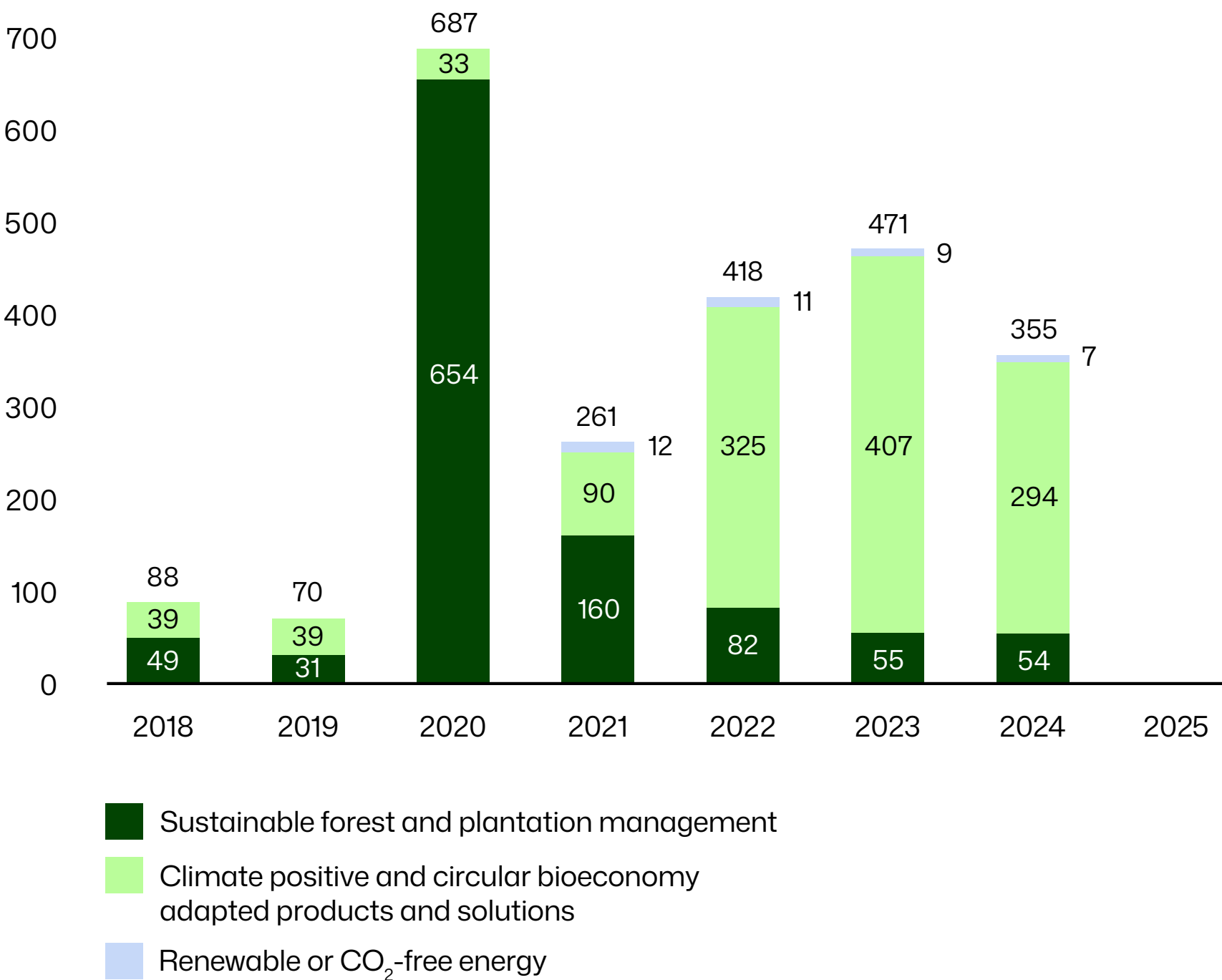
€2,350 million Proceeds

€ million (%)



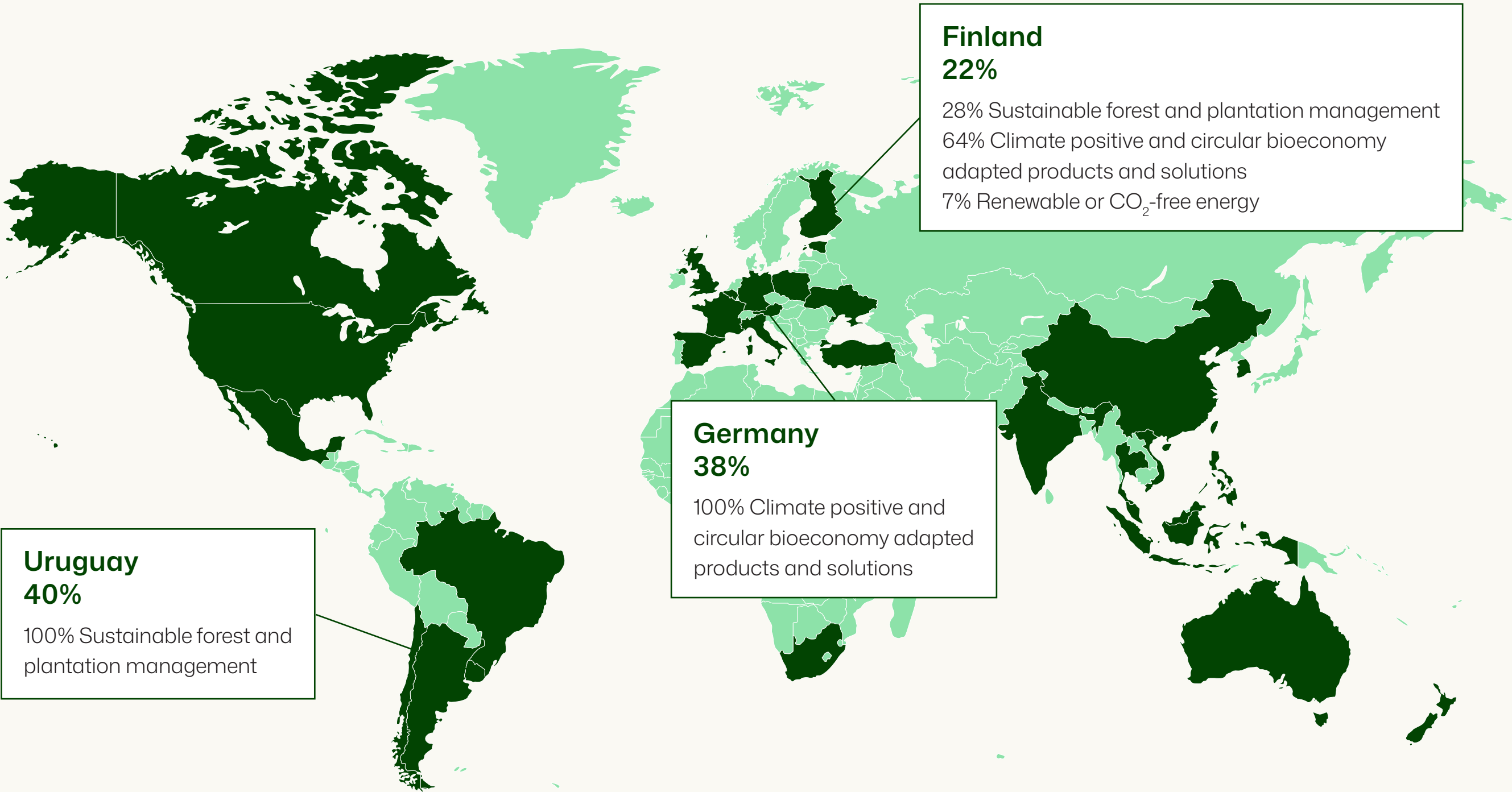
## Allocation per year per category

€ million



Note: Figures presented in this report are rounded and therefore the sum of individual figures might deviate from the presented total figure.

## Allocation per country per category



## Annual carbon sink 2025

**1,790**  
tonnes CO<sub>2</sub>eq/  
€1 million

(calculated for the Sustainable forest and plantation management, €1,085m)

or

**830**  
tonnes CO<sub>2</sub>eq/  
€1 million

(calculated for the whole nominal value of the bond portfolio, €2,350m)

# Green Bond summary

| Green Bond portfolio allocated proceeds and impacts                            |                                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
|--------------------------------------------------------------------------------|-----------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Issuer                                                                         | UPM-Kymmene Corporation                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Bond type                                                                      | Senior, unsecured                                         |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Listing                                                                        | Euronext Dublin                                           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Second Party Opinions                                                          | CICERO (11/2020–11/2023), S&P Global Ratings (11/2023 ->) |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Nominal value total                                                            | €2,350 million                                            |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Proceeds allocated                                                             | €2,350 million/100%                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Look-back period                                                               | 1–3 yrs                                                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Re-financing*                                                                  | €1,427 million/61%                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Financing*                                                                     | €923 million/39%                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Capex or capitalized                                                           | €2,048 million/87%                                        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Opex                                                                           | €302 million/13%                                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| EU Taxonomy alignment**                                                        | 44%                                                       |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Geographical split                                                             | 40% Uruguay, 22% Finland, 38% Germany                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Categories used                                                                | €2,350 million                                            | Impact indicators                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Related SDGs                                                                                                                                                                                                           |
| <b>Sustainable forest and plantation management</b>                            | <b>€1,085 million in total</b>                            | <ul style="list-style-type: none"><li>830,000 hectares of certified forests</li><li>Carbon sink of UPM's own and leased certified forests 1.9 million tonnes of CO<sub>2</sub> equivalents</li><li>Net-positive impact on biodiversity measured in UPM's own forests in Finland and land in Uruguay by selected indicators</li></ul>                                                                                                                                                                           | <div></div> <div>Targets 13.1 and 15.2</div> |
| Forest assets carrying value                                                   | €592 million                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Sustainable forest management costs                                            | €316 million                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Plantation acquisition Uruguay                                                 | €121 million                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Nursery investment Uruguay                                                     | €21 million                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Forest asset acquisition Finland                                               | €35 million                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| <b>Climate positive and circular bioeconomy adapted products and solutions</b> | <b>€1,227 million in total</b>                            | <ul style="list-style-type: none"><li>1,132 patents and 96 trademarks in Biochemicals and Biofuels businesses at the end of 2023***</li><li>This represents the number of patents and trademarks that generated costs during the period of 2018–2023</li><li>Biochemicals refinery investment will offer new bio-based solutions that replace fossil-based solutions for the material sector</li><li>1,689,985 t CO<sub>2</sub> saved emissions from Biofuels production for the period of 2022–2025</li></ul> | <div></div> <div>Targets 13.1</div>                                                                                               |
| R&D costs in biochemicals and biofuels businesses                              | €258 million                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Biochemical refinery investment (Leuna)                                        | €898 million                                              |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| Biofuels refinery costs (Lappeenranta)                                         | €71 million                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |
| <b>Renewable or CO<sub>2</sub>-free energy</b>                                 | <b>€38 million in total</b>                               | <ul style="list-style-type: none"><li>Generation of 776 GWh renewable hydropower</li></ul>                                                                                                                                                                                                                                                                                                                                                                                                                     | <div></div> <div>Targets 7.3 and 13.1</div>  |
| Hydropower                                                                     | €38 million                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                                                                                                                        |

\* Costs occurred prior bond issuance: re-financing, costs occurred after bond issuance: financing.

\*\* EU Taxonomy alignment calculations restated in 2024 due to change on the Forest Management category alignment assessment.

\*\*\* Patents and trademarks related to Biocomposites and Biomedicals businesses have been excluded due to decision to discontinue these businesses.

Note: Carbon sink information is based on a study by the Natural Resource Institute of Finland for UPM's own and leased assets in Finland and Uruguay.

Note: Figures presented in this report are rounded and therefore the sum of individual figures might deviate from the presented total figure.

# Independent Practitioner’s Assurance Report



To the Management of UPM-Kymmene Corporation

### Scope

We have been engaged by UPM-Kymmene Corporation (hereafter “UPM-Kymmene”) to perform a ‘limited assurance engagement,’ as defined by International Standards on Assurance Engagements (ISAE 3000), here after referred to as the engagement, to report on the impact indicators presented in Green Bond Summary (the “Subject Matter”), disclosed in UPM-Kymmene’s Green Finance report (the “Report”) for the period 1.1.-31.12.2025.

Other than as described in the preceding paragraph, which sets out the scope of our engagement, we did not perform assurance procedures on the remaining information included in the Report, and accordingly, we do not express a conclusion on this information.

### Criteria applied by UPM-Kymmene

The Subject Matter has been prepared in accordance with UPM-Kymmene’s Green Finance Framework (the “Criteria”). As a result, the Subject Matter information may not be suitable for another purpose.

### UPM-Kymmene’s responsibilities

UPM-Kymmene’s management is responsible for selecting the Criteria, and for presenting the Subject Matter in accordance with that Criteria, in all material respects. This responsibility includes establishing and maintaining internal controls, maintaining adequate records and making estimates that are relevant to the preparation of the subject matter, such that it is free from material misstatement, whether due to fraud or error.

### EY’s responsibilities

Our responsibility is to express a conclusion on the presentation of the Subject Matter based on the evidence we have obtained.

We conducted our engagement in accordance with the International Standard for Assurance Engagements Other Than Audits or Reviews of Historical Financial Information (‘ISAE 3000’ Revised), and the terms of reference for this engagement as agreed with UPM-Kymmene. Those standards require that we plan and perform our engagement to express a conclusion on whether we are aware of any material modifications that need to be made to the Subject Matter in order for it to be in accordance with the Criteria, and to issue a report. The nature, timing, and extent of the procedures selected depend on our judgment, including an assessment of the risk of material misstatement, whether due to fraud or error.

We believe that the evidence obtained is sufficient and appropriate to provide a basis for our limited assurance conclusions.

### Our independence and quality management

We have maintained our independence and confirm that we have met the requirements of the Code of Ethics for Professional Accountants issued by the International Ethics Standards Board for Accountants, and have the required competencies and experience to conduct this assurance engagement. EY also applies International Standard on Quality Management 1, Quality Management for Firms that Perform Audits or Reviews of Financial Statements, or Other Assurance or Related Services engagements, which requires that we design, implement and operate a system of quality management including policies or procedures regarding compliance with

ethical requirements, professional standards and applicable legal and regulatory requirements.

### Description of procedures performed

Procedures performed in a limited assurance engagement vary in nature and timing from, and are less in extent than for a reasonable assurance engagement. Consequently, the level of assurance obtained in a limited assurance engagement is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed. Our procedures were designed to obtain a limited level of assurance on which to base our conclusion and do not provide all the evidence that would be required to provide a reasonable level of assurance.

Although we considered the effectiveness of management’s internal controls when determining the nature and extent of our procedures, our assurance engagement was not designed to provide assurance on internal controls. Our procedures did not include testing controls or performing procedures relating to checking aggregation or calculation of data within IT systems.

The Green House Gas quantification process is subject to scientific uncertainty, which arises because of incomplete scientific knowledge about the measurement of GHGs. Additionally, GHG procedures are subject to estimation (or measurement) uncertainty resulting from the measurement and calculation processes used to quantify emissions within the bounds of existing scientific knowledge.

A limited assurance engagement consists of making enquiries, primarily of persons responsible for preparing the Subject Matter and related information and applying analytical and other appropriate procedures.

Our procedures included:

- a. Enquiries to UPM-Kymmene management relating to whether the reporting has been prepared in accordance with the UPM-Kymmene Green Finance Framework,
- b. Interviews with personnel responsible for gathering and consolidation of the information to understand the systems, processes and controls related to gathering and consolidating the information,
- c. Assessing data from internal and external sources and checking the data to reported information on a sample basis to check the accuracy of the data.

We also performed such other procedures as we considered necessary in the circumstances.

### Conclusion

Based on our procedures and the evidence obtained, we are not aware of any material modifications that should be made to the Subject Matter in respect of the impact indicators presented, in order for it to be in accordance with the Criteria.

Helsinki 15.4.2026

### Ernst & Young Oy

Authorized Public Accountant Firm

Mikko Järventausta

Authorized Public Accountant

# Impact calculation methodology

## Accounting of impacts

More detailed information about all sustainability indicators is disclosed in our [Annual Report 2025](#) which is available on our website.

The Annual Report includes our Sustainability Statement (pages 133–249) in accordance with the EU Corporate Sustainability Reporting Directive (CSRD) and its European Sustainability Reporting Standards (ESRS) relevant to our business and the material topics identified through the double materiality assessment.

In addition, we adhere to the sustainability reporting standards published by the Global Reporting Initiative (GRI) to measure and report on corporate responsibility at the Group level as outlined in our [GRI Content Index 2025](#).

The content of the Sustainability Statement has been subject to a limited assurance engagement. Scope 1 and 2 emissions have been subject to reasonable assurance by an independent third party, Ernst & Young. The limited assurance engagement also covered adherence to the GRI standards.

## Forest indicators

### Hectares

The sustainability forest management indicator is based on hectares certified by the PEFC and/or by the FSC™ by third-party auditors. The certificates can be downloaded from the [UPM Certificate finder](#).

### Carbon sink

The Natural Resources Institute Finland (LUKE) calculates the carbon sink of UPM's own and leased forests and tree plantations in Finland, the USA and Uruguay. Results are reported annually as a five-year average, and the calculation is developed as best practice evolves. Work is ongoing to harmonize

methodologies and to improve the accuracy of the calculations. Therefore, the previous year's figure is not fully comparable. UPM aims to continuously improve the understanding of carbon balance. In 2022, a project started with LUKE to improve soil carbon models in Uruguay using actual field measurements. Field measurements in eucalyptus plantations began in 2023. An improved model for carbon calculations was used in UPM's carbon accounting in 2024.

Finland: Changes in forest carbon stocks cover both the tree stock and the soil. Long-term measurement data and mathematical modeling from LUKE were used in the calculation. Changes in the carbon stock of the stand are calculated as the difference between annual growth and depletion. The calculation were performed separately for forests growing on mineral soils and on peat soils. Stand growth estimates are based on the National Forest Inventory (VMI), which has a five-year inventory cycle.

Uruguay: Changes in forest carbon stocks cover both the tree stock and the soil. Measurement data and mathematical modeling from LUKE were used in the calculation. Changes in the carbon stock of the stand are calculated as the difference between annual growth and depletion, based on annual increment in volume and harvest information from UPM. The change in soil carbon stock was calculated using the Yasso07 dynamic soil model.

🔗 [Luke](#)

The carbon sink indicator per €1 million was calculated based on the results of the carbon sink calculations for Uruguay and Finland (five-year average annual carbon sink of -1.9 million tonnes CO<sub>2</sub> equivalents) for the year 2025 divided by the proceeds from the four bonds allocated to sustainable forest and plantation management (€1,085 million).

## Net-positive impact on forest biodiversity

UPM's approach comprises a set of biodiversity indicators contributing to the positive development of living conditions for flora and fauna on a specified land area. These indicators have been developed, and new indicators are being developed in cooperation with research institutes and other stakeholders.

Currently, there is no scientific method to evaluate whether the total impact on biodiversity is positive or negative. Thus, UPM is working towards “net-positivity” having more indicators with positive than negative development, comparing single indicators to the previous year. The annual positive development target is achieved when most of the biodiversity indicators show positive development compared to the previous year.

The target is followed-up separately for UPM's forest in Finland and UPM's land areas in Uruguay. Read more about the indicators here:

🔗 [Biodiversity in forests](#)

🔗 [UPM Biodiversity indicators](#)

## Indicator for climate positive products and solutions

A solid patent portfolio strengthens our competitive edge. This indicator measures the number of patents and trademarks that generated costs in a given period for specific businesses. The figures are reported by UPM IPR.

We are committed to a climate-positive product portfolio. Many of our products are already proven to be climate positive. In 2022, we published the results of a study on climate-related substitution and the carbon storage effects of our products with two research institutes, the German IFEU and the Finnish Environment Institute (SYKE).

A Life Cycle Assessment (LCA) study has been carried out to assess the environmental performance of products of the biochemicals refinery in Leuna, Germany. The LCA study conducted by UPM covers all the products from the refinery and enables UPM to provide environmental footprint data to the refinery's customers and to further develop the products and processes. LCA is a scientific method for analyzing the environmental impacts of products. The LCA study was carried out in accordance with ISO standard 14040 and 14044, using and the latest CML impact assessment methods. A cradle-to-gate system boundary was applied. The data collection is based on supplier design, process simulation and pre-commercial trials data and represents the current best knowledge of the UPM's refinery process. Part of the production process is the uptake of biogenic carbon during the growth of the feedstock beech wood. This removal is included in the CO<sub>2</sub> footprint calculation including biogenic carbon. A critical review has been carried out by an independent party, DEKRA Assurance Services GmbH.

🔗 [IFEU/SYKE study](#)

UPM Biofuels assesses and quantifies the life cycle GHG emission savings according to the mandatory methodology set out in Article 29 and Annex V & VI RED, EU 2023/2413 for renewable diesel and renewable naphtha. As required by RED, EU 2023/2413, UPM Biofuels' data, methodology and GHG calculation results are reviewed and verified annually as part of the external certification process of UPM's ISCC EU certificate. The current valid certificate number is EU-ISCC-Cert-US201-43812025.

